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No. 94-788

SUPREME COURT, U.S.

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In The
Supreme Court of the United States

October Term, 1994

CITY OF MILWAUKEE,

Petitioner,

vs.

CEMENT DIVISION, NATIONAL GYPSUM
COMPANY, ET AL.,

Respondents.

On Writ Of Certiorari
To The United States Court Of Appeals
For The Seventh Circuit

PETITIONER'S BRIEF ON THE MERITS

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QUESTION PRESENTED

In an admiralty collision case, is a genuine dispute regarding liability in a mutual fault case a peculiar circumstance permitting the district court in its discretion to deny a request for prejudgment interest by a party bearing twice as much fault as the party from whom interest is sought?

LIST OF PARTIES

The parties to the proceedings below were the petitioner City of Milwaukee and the respondents Cement Division, National Gypsum Company; Reed & Brown, Inc.; New York Marine Managers, Inc.; Allstate Insurance Company, c/o American Marine Underwriters, Inc.; Highlands Insurance Company; Employers Casualty Company of Texas, c/o Texas Marine Underwriters Agency, Inc.; Donald H. Miller, Inc.; U.S. Fidelity and Guarantee Company; Great Lakes Protective Association; The Atlantic Companies; Lloyds Underwriters, Institute Companies, including: Commercial Union Assurance Co. Ltd., "I" A/o. Andrew Weir Insurance Co. Ltd., English & American Insurance Co. Ltd., "M" 1 A/o., Orion Insurance Co. Ltd., "T" A/o. Yasuda Fire & Marine Insurance Co. (U.K.) Ltd., "T" A/o., Atlas Assurance Co. Ltd., "T" A/o., Phoenix Assurance Co. Ltd., British Law Insurance Co. Ltd., Road Transport and General Insurance Co. Ltd., Insurance Company of North America (U.K.) Ltd., "G" A/o., Insurance Company of North America (U.K.) Ltd., "O" A/o., Home Insurance Co. Ltd., "X" A/o., London & Hull Maritime Insurance Co. Ltd., Hanover Insurance Co. Ltd., Sphere Insurance Co. Ltd., Drake Insurance Co. Ltd., Bishopsgate Insurance Co. Ltd., "F" A/o., British Law Insurance Co. Ltd., No. 2 A/o., Minster Insurance Co. Ltd., No. 2 A/o., Insurance Corporation of Ireland, "L" A/o., Folksam International Insurance Co. (U.K.) Ltd., Terra Nova Insurance Co. Ltd. per Andrew Drysdale Ltd., Economic Insurance Co. Ltd., "GENERAL" A/o., c/o Willis, Faber & Dumas Ltd., Ten Trinity Square, London EC3P 3AX England.

LIST OF PARTIES – Continued

Petitioner, City of Milwaukee, has no parent companies, subsidiaries, or affiliates to list pursuant to Rule 29.1.

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OPINIONS BELOW

The opinion of the court of appeals (Pet. App. 1a-17a) is reported at 31 F.3d 581. The opinion of the district court (Pet. App. 19a-23a) is unreported.

JURISDICTION

The judgment of the court of appeals was entered on August 5, 1994. Pet. App. 1a. The petition for a writ of certiorari was filed on October 31, 1994, and granted on January 6, 1995. The jurisdiction of this Court rests on 28 U.S.C. 1254(1).

STATEMENT

1. On Christmas Eve, 1979, the S/S EM Ford was moored at a berth at the Port of Milwaukee when a severe winter storm arose. The Ford broke away, crashed into the headwall of the berth, and sank to the bottom of Milwaukee Harbor. Pet. App. 2a; J.A. 26. In 1980, respondents, the owner and insurers of the Ford, brought suit in admiralty in the United States District Court for the Eastern District of Wisconsin. They sought \$6.5 million in damages from petitioner, the City of Milwaukee, for the loss of the Ford and its cargo. Pet. App. 2a; J.A. 29.¹ Respondents alleged that the City should have warned of the dangers that might occur if a storm arose. J.A. 27.

¹ The court of appeals appears to have misstated the amount of damages sought. See J.A. 29.

The City denied liability, urging that a wharfinger has no duty to warn of the dangers of storms. The City further asserted that respondents were contributorily negligent in leaving the Ford in its outer harbor berth essentially unattended during the winter, "with no means aboard of monitoring weather or summoning tugs or a pilot for assistance" (J.A. 27). On this basis the City counterclaimed for \$250,000 in damage to the dockwall. Pet. App. 2a.

The trial on liability was not conducted until 1986. It lasted approximately three weeks. J.A. 35. The district court did not issue its decision until 1989. J.A. 36. The district court found respondents 96% liable and the City 4% liable. Pet. App. 3a. The United States Court of Appeals for the Seventh Circuit reversed and, without remanding, itself reapportioned the parties' liability, finding respondents two-thirds responsible and the City one-third responsible. *Cement Division, National Gypsum Co. v. City of Milwaukee*, 915 F.2d 1154 (1990). After this Court denied certiorari, 499 U.S. 960 (1991), the parties entered into a settlement agreement under which the City paid \$1,677,541.86 in damages to the respondents. Pet. App. 3a, 17a. The agreement provided that the district court would decide whether prejudgment interest was to be awarded. J.A. 46.

2. Respondents then sought an award of \$5,317,807.70 in prejudgment interest from the district court. The district court denied prejudgment interest. Pet. App. 20a-23a. The district court began its analysis by recognizing that, in admiralty cases, "an award of prejudgment interest . . . is the rule rather than the exception" and that "a court may exercise its discretion to deny

prejudgment interest" only "if unusual circumstances exist." Id. at 21a. But among such unusual circumstances, the court noted, are a "'genuine dispute over a good faith claim . . . in a mutual fault situation'" and circumstances in which "'the [p]laintiff's contributory negligence is [of] such a magnitude as to make an award of prejudgment interest inequitable.'" Ibid., quoting *McDermott, Inc. v. Clyde Iron*, 979 F.2d 1068, 1080 n. 17 (5th Cir. 1992) (citation omitted), rev'd on other grounds, 114 S. Ct. 1461 (1994). In this case, the district court held, an award of prejudgment interest was unwarranted for those reasons. Pet. App. 22a.

The district court also mentioned, as an additional reason for denying prejudgment interest, the fact that the City, because it is a municipal government, could not have "accru[ed] market rate interest on the funds" it was ultimately determined to owe to respondents. Pet. App. 22a. Under Wisconsin law, a municipality "has no power to set aside an interest bearing fund at the time of a loss, but can only levy taxes to pay a settlement or final judgment." Ibid. (citation omitted).

The court of appeals reversed. Pet. App. 1a-15a. The court of appeals also recognized that admiralty, while generally requiring the award of prejudgment interest, has historically allowed a district court "discretion to deny prejudgment interest where it finds that special or peculiar circumstances would render such an award inequitable." Id. at 4a. The court of appeals further acknowledged that numerous cases had recognized good faith dispute in a mutual fault case as a justification for a discretionary denial of prejudgment interest. Id. at 5a, 6a, 8a.

The court of appeals held, however, that because of this Court's decision in *United States v. Reliable Transfer Co.*, 421 U.S. 397 (1975), "there no longer exists a reason to deny prejudgment interest in collisions cases involving mutual fault." Pet. App. 8a. *Reliable Transfer* overturned the "divided damages" rule, which provided that if the two parties to a maritime collision are each to some degree negligent, total damages must be divided equally rather than apportioned according to comparative fault. See 421 U.S. at 397. *Reliable Transfer* replaced this rule with a rule of comparative fault, the same rule that had long governed personal injury actions in admiralty. See *id.* at 407.

The court of appeals asserted that the discretionary authority to withhold prejudgment interest in "mutual fault" cases in which there is a "genuine dispute" had served to mitigate the sometimes harsh effects of the divided damages rule. Pet. App. 8a. Therefore, the court concluded, *Reliable Transfer* had removed the justification for this exercise of discretion. Pet. App. 8a-9a. The court of appeals recognized that, under prior decisions, uncertainty about the existence and extent of the defendant's liability might also justify denying prejudgment interest. *Id.* at 10a-11a. The court of appeals explained these decisions as follows (*id.* at 11a):

[U]sing uncertainty as a basis to deny interest in a mutual fault case made sense under the old divided damages regime. This is because under that rule, it was not until after trial that there would be a determination from the district court as to which of the parties would have to come up with the extra money to make the other party whole.

But the court of appeals asserted that *Reliable Transfer*, by overruling the divided damages rule, had reduced the amount of uncertainty in collision litigation to such an extent that "uncertainty as to eventual liability can no longer be a factor to consider in determining whether to deny prejudgment interest in cases involving mutual fault." *Id.* at 11a-12a.² The court accordingly stated: "We . . . conclude that, as a matter of law, the mutual fault of the parties should not constitute a reason to deny an award of prejudgment interest in admiralty." *Id.* at 9a.

The court of appeals then discussed the rate of prejudgment interest that was to be assessed. The "best starting point," the court said, was "an average of the prime rate for the years in question." *Pet. App.* 14a. Alternatively, the district court might "set the rate of interest to match that which lenders would charge the City for short-term, unsecured loans." *Id.* (citations omitted).

SUMMARY OF ARGUMENT

A. Prejudgment interest has traditionally been available in admiralty. But prejudgment interest has never been available in admiralty as a matter of right. From the earliest decisions, this Court has emphasized that an award of prejudgment interest in admiralty is

² The court of appeals also rejected the district court's ruling that petitioner's status as a municipal government, limited in its ability to hold interest-bearing funds, was a factor justifying a denial of prejudgment interest. *Pet. App.* 13a.

discretionary with the trial court. The Court has, moreover, repeatedly reaffirmed the discretionary nature of prejudgment interest awards in cases arising under federal statutes. Congress has deliberately left this discretionary and equitable federal prejudgment interest regime intact.

B. The district court in this case exercised its discretion to deny prejudgment interest because both parties were at fault and the City had good reason to believe that it would not be held liable. Such an exercise of discretion is consistent both with this Court's decisions and with the underlying logic of prejudgment interest. Prejudgment interest is not just an element of a plaintiff's compensation; it also operates to impose a cost on the defendant that results from the defendant's decision to continue to contest the litigation. That is because an award of prejudgment interest forces the defendant to become, in effect, an involuntary debtor who must pay the plaintiff a market rate of interest for the entire period during which it contests liability. When the defendant's decision to continue litigating is a reasonable one – as will often be true in a case of mutual fault and good faith dispute over the facts – the district court may, in its discretion, decide that that reasonable decision should not be burdened by an award of prejudgment interest.

This understanding of prejudgment interest – that it is not just an element of compensation but a burden imposed on the defendant for continuing to litigate – explains why this Court has consistently viewed prejudgment interest as discretionary. It also explains the universal agreement that prejudgment interest may not be awarded when a plaintiff delays the litigation. For there

is only a difference of degree, not of principle, between unreasonable delay by the plaintiff and a reasonable decision by the defendant to continue litigation. Finally, imposing the burden of prejudgment interest on the defendant, when the plaintiff was the party primarily at fault, offends the notions of fairness and equity that, this Court has repeatedly said, are the touchstones in determining whether to award prejudgment interest.

C. The court of appeals recognized that it was overturning a rule that many lower courts had accepted, but it concluded that this Court's decision in *United States v. Reliable Transfer Co.*, 421 U.S. 397 (1975), justified it in doing so. This conclusion was doubly mistaken. First, when the courts wished to ameliorate the inequities of the divided damages rule overturned in *Reliable Transfer*, they did so by adopting explicit, well-focused rules, such as the major-minor fault doctrine and the *in extremis* doctrine. The prejudgment interest principle at issue here would have been a crude, inefficient, and of course disingenuous way to "compensate for" the inequities of the divided damages rule. Second, *Reliable Transfer* in fact increased the uncertainty faced by parties to maritime collision litigation. If, as the court of appeals seemed to accept, uncertainty is a reason justifying withholding prejudgment interest, *Reliable Transfer* actually strengthens the case for the principle that the court of appeals discarded.

ARGUMENT

THE COURT OF APPEALS ERRED IN DENYING THE DISTRICT COURT ALL DISCRETION TO WITHHOLD PREJUDGMENT INTEREST ON GROUNDS OF MUTUAL FAULT.

A. Trial Courts Have Traditionally Had Discretion To Withhold Prejudgment Interest When Its Award Would Be Inequitable.

1. The common law was hostile to awards of prejudgment interest. See *Library of Congress v. Shaw*, 478 U.S. 310, 314-15 & n.2 (1986). The traditional common law rule is that prejudgment interest is available only on damages awards that are liquidated or "ascertainable." See 1 D. Dobbs, *Law of Remedies* § 3.6(1) at 336-37 (1993); Note, *Prejudgment Interest: Survey and Suggestions*, 77 Nw. U. L. Rev. 192, 196-97 (1982) (citing sources). This rule – which was widely criticized (see, e.g., *Funkhouser v. J.B. Preston Co.*, 290 U.S. 163, 168 (1933)) – precluded prejudgment interest in most personal injury cases and in many cases involving property damage. See, e.g., D. Dobbs, § 3.63(1) at 336 & n.17; *Monessen Southwestern Railway Co. v. Morgan*, 486 U.S. 330, 337 (1988).

Admiralty did not share the common law hostility to prejudgment interest, and prejudgment interest has traditionally been available in admiralty. See, e.g., *The Amiable Nancy*, 16 U.S. (3 Wheat.) 546, 560 (1818); Geraghty & Stiles, *Damages*, 2 Benedict on Admiralty § 84, at 7-87 n.38 (7th ed. 1993). But prejudgment interest in admiralty is not available as a matter of right. The trial court has broad equitable discretion in deciding whether to award prejudgment interest. This Court settled this point long

ago. In *The Scotland*, 118 U.S. 507, 518-19 (1886), the Court upheld a denial of prejudgment interest, and Justice Bradley's opinion for the Court stated:

The allowance of interest on damages is not an absolute right. Whether it ought or ought not to be allowed depends upon the circumstances of each case, and rests very much in the discretion of the tribunal which has to pass upon the subject, whether it be a court or a jury.

In *The Maggie J. Smith*, 123 U.S. 349 (1887), Justice Field's opinion for the Court brusquely dismissed a contention that the lower courts had erred in denying prejudgment interest: "[I]t is sufficient to say that the allowance of such interest and costs rested in the discretion of the court below, and its action will not be disturbed on appeal." *Id.* at 356. The courts of appeals have repeatedly reaffirmed the rule that while there is a presumption in favor of awarding prejudgment interest in admiralty, an award of prejudgment interest remains discretionary. See, e.g., *The Wright*, 109 F.2d 699 (2d Cir. 1940); *The President Madison*, 91 F.2d 835, 847 (9th Cir. 1937); 34 ALR Fed 126, 144-46 (1977 & Supp. 1994) (collecting cases).

2. Although this Court has not recently considered the availability of prejudgment interest in admiralty, it has decided a number of cases involving prejudgment interest on federal claims. In these cases the governing statute was typically either silent or unclear on the question whether prejudgment interest should be awarded. These cases are a reliable guide to how prejudgment interest should be treated in admiralty. That is because there is no general federal statute governing prejudgment

interest. Cf. 28 U.S.C. 1981 (providing for awards of post-judgment interest). As a result, the law on prejudgment interest, in the absence of clear statutory directives, is essentially judge-made. "[T]his Court has fashioned rules which granted or denied interest on particular statutory obligations by an appraisal of the congressional purpose in imposing them and in the light of general principles deemed relevant by the Court." *Rodgers v. United States*, 332 U.S. 371, 373 (1947). Admiralty, of course, is a similar combination of statutory policies and "general principles" (*ibid.*) of a common law nature. See, e.g., *Miles v. Apex Marine Corp.*, 498 U.S. 19, 24 (1990).

A consistent theme in these statutory cases is the same as that announced by Justices Bradley and Field in their admiralty opinions from a century ago: if prejudgment interest is available, the trial court has broad equitable discretion to decide whether to award it. See also D. Dobbs, § 3.6(5) at 357, 360-61. This Court has explicitly stated, on many occasions, that prejudgment interest may be withheld where an award would be "inequitable." Thus in *Blau v. Lehman*, 368 U.S. 403 (1962), the Court affirmed the denial of prejudgment interest on a damages award under Section 16(b) of the Securities Exchange Act of 1934, 15 U.S.C. 78p(b), on the ground that the "courts below denied interest . . . and we cannot say that the denial was either so unfair or so inequitable as to require us to upset it." 368 U.S. at 414. The Court further explained, quoting an earlier decision, *Board of Commissioners of Jackson County v. United States*, 308 U.S. 343 (1939):

"[I]nterest is not recovered according to a rigid theory of compensation for money withheld, but

is given in response to considerations of fairness. It is denied when its exaction would be inequitable."

Blau, 368 U.S. at 414, quoting *Board of Commissioners*, 308 U.S. at 352. *Board of Commissioners*, in turn, relied on *United States v. Sanborn*, 135 U.S. 271, 281 (1890), and *Billings v. United States*, 232 U.S. 261 (1914). See also *Miller v. Robertson*, 266 U.S. 243, 258 (1924): "[W]hen necessary to arrive at a fair compensation, the court in the exercise of a sound discretion may include interest or its equivalent as an element of damages."

In *Osterneck v. Ernst & Whinney*, 489 U.S. 169 (1989), the Court sounded the same note: a district court has equitable discretion in deciding whether to award prejudgment interest. Indeed, the discretionary character of the district court's decision was central to the Court's reasoning in *Osterneck*. *Osterneck* held that the filing of a motion for prejudgment interest in the district court constitutes a motion to alter or amend the judgment, under Federal Rule of Civil Procedure 59, and therefore renders ineffective a previously filed notice of appeal. 489 U.S. at 170. The Court noted that "prejudgment interest traditionally has been considered part of the compensation due plaintiff." *Id.* at 175. But the Court went on to explain (*id.* at 176; footnote omitted):

In deciding if and how much prejudgment interest should be granted, a district court . . . will consider a number of factors, including whether prejudgment interest is necessary to compensate the plaintiff fully for his injuries, the degree of personal wrongdoing on the part of the defendant, the availability of alternative investment

opportunities to the plaintiff, whether the plaintiff delayed in bringing or prosecuting the action, and other fundamental considerations of fairness.³

The factors that the Court mentioned – especially “the degree of personal wrongdoing on the part of the defendant” and “other fundamental considerations of fairness” – leave no doubt that the Court envisioned a broad equitable discretion for district courts in determining whether to award prejudgment interest.

Even when the right to prejudgment interest is clear from a statute or from precedent, the Court has recognized the trial judge’s equitable power to decide whether interest is properly awarded. For example, in *General Motors Corp. v. Devex Corp.*, 461 U.S. 648 (1983), the Court ruled that a 1946 amendment to 35 U.S.C. 284, the provision of the patent laws governing recovery in infringement actions, overturned the common law rule that

³ The Court noted that this case was a “federal securities action” and stated that it was “offer[ing] this list of factors, taken from lower court opinions” rather than authoritatively “specify[ing] what factors a district court must consider when deciding under federal law whether to grant prejudgment interest” (489 U.S. at 176 & n. 2).

Although the Court made clear that its interpretation of Rule 59 would apply equally to a case in which prejudgment interest might be available “as of right,” the Court explained that that conclusion was justified in part because of the need to have a bright-line rule governing prejudgment interest motions generally. 489 U.S. at 176 n. 3. Thus the fact that prejudgment interest was discretionary in the ways that the Court identified was central to the Court’s conclusion that a motion for prejudgment interest is to be treated as a motion to alter or amend the judgment. See *id.* at 175-76.

prejudgment interest would be allowed only when a damages award was liquidated. 461 U.S. at 653. Notwithstanding this clear indication of legislative intent, the Court did not hold that prejudgment interest was available as a matter of right; instead it adopted an approach comparable to the admiralty rule. The Court stated: "We hold only that prejudgment interest should be awarded under § 284 absent some justification for withholding such an award." 461 U.S. at 657. The Court carefully explained (*id.* at 656-57; footnote omitted):

We do not construe § 284 as requiring the award of prejudgment interest whenever infringement is found. . . . [I]n our view [§ 284] leaves the court some discretion in awarding prejudgment interest. For example, it may be appropriate to limit prejudgment interest, or perhaps even deny it altogether, where the patent owner has been responsible for undue delay in prosecuting the lawsuit. There may be other circumstances in which it may be appropriate not to award prejudgment interest. We need not delineate those circumstances in this case.⁴

⁴ Similarly, in *Loeffler v. Frank*, 486 U.S. 549, 557-58 (1988), the Court ruled that Title VII of the Civil Rights Act of 1964, 42 U.S.C. 2000e et seq., provided for awards of prejudgment interest; but the Court was careful to rule not that Title VII requires prejudgment interest as a matter of right but only that Title VII "authorizes" prejudgment interest (486 U.S. at 557), that a defendant "may be subjected" to prejudgment interest (*id.* at 558) and that prejudgment interest "may be awarded" (*id.* at 565) – making plain that the district court retains some discretion to withhold prejudgment interest in appropriate cases.

Finally, the Court has reaffirmed the equitable power of the district court even in a situation in which it considered the right to prejudgment interest to have the deepest roots. In *United States v. Texas*, 113 S. Ct. 1631 (1993), the Court noted the “‘longstanding rule that parties owing debts to the Federal Government must pay prejudgment interest where the underlying claim is a contractual obligation to pay money.’” *Id.* at 1634, quoting *West Virginia v. United States*, 479 U.S. 305, 310 (1987) (citations omitted). The Court further stated that this “longstanding rule” extended to debts owed by state and local governments. 113 S. Ct. at 1634. Nonetheless, the Court explicitly “cautioned that a federal court considering the question in an individual case should weigh the federal and state interests involved” (*ibid.*) and, to make the point clear, stated:

The duty to pay prejudgment interest under the common law, however, is by no means automatic. Before imposing prejudgment interest, the courts must weigh the competing federal and state interests.

Id. at 1635, citing *West Virginia*, 479 U.S. at 309-11, and *Board of Commissioners*, 308 U.S. at 350.⁵

⁵ The Court’s discussion of *West Virginia v. United States* in *United States v. Texas* establishes that a brief statement in a footnote in the prior case, rejecting a freewheeling “balancing of equities between the parties” (479 U.S. at 311 n. 3), did not alter the equitable and discretionary nature of prejudgment interest – even in a case in which the right to prejudgment interest is at its strongest, by virtue of the “longstanding tradition” identified by the Court. Indeed, *West Virginia v. United States* had gone on to state explicitly that “an equitable consideration, such as laches” might bar “an otherwise valid claim for interest.” *Ibid.*

3. Not only have the courts, including this Court, consistently eschewed a strict requirement of prejudgment interest; Congress has done so as well.⁶ Postjudgment interest, like prejudgment interest, was also not allowed at common law. See *Pierce v. United States*, 255 U.S. 398, 406 (1921). Congress has enacted a general postjudgment interest statute, 28 U.S.C. 1961, which provides for postjudgment interest in mandatory terms: "Interest shall be allowed on any money judgment in a civil case recovered in a district court. . . . Such interest shall be calculated from the date of entry of the judgment. . . ." See *Kaiser Aluminum & Chemical Corp. v. Bonjorno*, 494 U.S. 827 (1990).

But Congress has enacted no general prejudgment interest statute. Instead, it has elected to leave in place the explicitly discretionary and equitable regime that the courts, including this Court, have established. In fact, in 1982, when Congress amended Section 1961 to modify the postjudgment interest rate (Federal Courts Improvement Act of 1982, Pub. L. No. 97-164, § 302, 96 Stat. 55-56), Congress specifically deleted from the bill a proposal that would have required prejudgment interest. See S. Rep. No. 97-275, 97th Cong., 1st Sess. 11-12 (1981); *Monessen Southwestern Railway Co. v. Morgan*, 486 U.S. 330, 339 n.8 (1988). Indeed, the evidence of Congressional endorsement of the discretionary regime is even stronger,

⁶ Many states that have rejected the traditional common law approach have also determined, by statute or judicial decision, that prejudgment interest is to be awarded in the discretion of the trial court or the jury. See, e.g., West's Ann. Cal. Civ. Code § 3288; Note, *Prejudgment Interest*, 77 Nw. U. L. Rev. at 204 & nn. 73, 74 (citing cases).

because the proposed general prejudgment interest provision would have established a discretionary standard. The Senate Report specifically noted that the bill provided prejudgment interest only "where a defendant knew of his liability," and that "[t]he imposition of such interest would be left to the discretion of the district judge in each case." S. Rep. No. 97-275 at 12.

Especially in a complex area where the law is in substantial measure a product of history, as the rules governing prejudgment interest are, Congress's decision not to act should be taken as an endorsement of the judge-made regime, with its heavy emphasis on equitable discretion. The Court's decision in *Monessen Southwestern Railway Co. v. Morgan*, 486 U.S. 330 (1988), stands for this proposition. There, the Court addressed the question whether the Federal Employers' Liability Act, 45 U.S.C. 51 et seq., allowed prejudgment interest. In addition to other indications of congressional intent, the Court noted that judicial decisions had consistently ruled that prejudgment interest was not available under FELA and that Congress had taken no action to overturn that consistent pattern. 486 U.S. at 338-39. A parallel situation obtains here. In admiralty and elsewhere, the federal courts have consistently ruled that prejudgment interest lies in the equitable discretion of the trial court, and Congress has declined to upset that state of affairs. This strongly suggests that the discretionary character of prejudgment interest in the federal courts should not be disturbed. Cf. *Miles v. Apex Marine Corp.*, 498 U.S. at 24.

B. In Exercising Its Discretion, A Court May Properly Withhold Prejudgment Interest When There Is A Good Faith Dispute In A Case Of Mutual Fault.

1. This Court has, in general, defined the district court's discretion over prejudgment interest awards in broad terms. Often the Court has simply stated that an award of prejudgment interest rests in the district court's discretion – as it did in the admiralty cases that determined the course of the law in this area, *The Scotland*, 118 U.S. at 518-19, and *The Maggie J. Smith*, 123 U.S. at 356. See page 9, *supra*. More modern cases have stated that an award of prejudgment interest can be withheld if it would be "inequitable" to grant it (see, e.g., *Blau*, 368 U.S. at 414; *Board of Commissioners*, 308 U.S. at 352) or if "fundamental considerations of fairness" would justify its denial (*Osterneck*, 489 U.S. at 176). See also *United States v. Texas*, 113 S. Ct. at 1635 ("the courts must weigh the competing federal and state interests").

When it has spoken more specifically, though, this Court has said, among other things, that "a persuasive consideration in determining whether . . . [to allow prejudgment] interest is the relative equities" of the parties. *Rodgers*, 332 U.S. at 373. Consistent with this suggestion, the lower courts, in admiralty cases, have held that prejudgment interest may be denied in a case of mutual fault, at least if – as in this case – the party being assessed interest had substantial reason to believe that it might not be held liable at all. See, e.g., *McDermott, Inc. v. Clyde Iron*, 979 F.2d 1068, 1080 (5th Cir. 1992), *rev'd on other grounds*, 114 S. Ct. 1461 (1994); *Orduna S.A. v. Zen-Noh Grain Corp.*, 913 F.2d 1149, 1157-58 (5th Cir. 1990); *Parker*

Towing Co. v. Yazoo River Towing, Inc., 794 F.2d 591, 594 (11th Cir. 1986); *Inland Oil and Transport Co. v. Ark-White Towing Co.*, 696 F.2d 321, 328 (5th Cir. 1983); *Pluyer v. Mitsui O.S.K. Lines, Ltd.*, 664 F.2d 1243 (5th Cir. 1982); *Nat G. Harrison Overseas Corp. v. American Tug Titan*, 516 F.2d 89 (5th Cir. 1975); *Iberian Tankers Co. v. Gates Construction Co.*, 504 F.2d 747, 748 (2d Cir. 1974).⁷

The reason for allowing prejudgment interest to be denied in such a case is not difficult to discern. It is true

⁷ The court of appeals, in rejecting this approach, relied on *Alkmeon Naviera, S.A. v. M/V Marina L*, 633 F.2d 789 (9th Cir. 1980). But the court below read far more into *Alkmeon Naviera* than is warranted. In *Alkmeon Naviera*, the district court, in denying prejudgment interest, gave no explanation for its action. *Id.* at 797. This alone would have justified overturning its decision. In a footnote, the *Alkmeon Naviera* court suggested, somewhat tentatively, that it would reject an approach under which mutual fault alone – without the element of a good faith dispute – would justify denying prejudgment interest. *Id.* at 798 n. 12. But the *Alkmeon Naviera* court did not reject the principle at issue here: that mutual fault, combined with a good faith dispute, might justify withholding prejudgment interest. On the contrary, the *Alkmeon Naviera* court suggested that a district court might have discretion to deny prejudgment interest in such circumstances if it entered “a specific finding” to that effect. *Id.* at 798. This reading of *Alkmeon Naviera* is buttressed by the fact that the *Alkmeon Naviera* court disagreed only with decisions of the Second Circuit and did not discuss decisions of the Fifth Circuit on this point (see *ibid.*); the Fifth Circuit has been the strongest proponent of allowing district judges to deny prejudgment interest when there is mutual fault and a good faith dispute. See pages 17-18, *supra*.

The court of appeals also relied on *Anderson v. Whittaker Corp.*, 894 F.2d 804 (6th Cir. 1990), which did reject the approach we advocate here. We discuss the specific error in the rationale of *Anderson* (adopted as well by the court below) in Part C.

that, because of the time value of money, a plaintiff is sometimes not fully compensated by the award of damages without interest. See, e.g., *Monessen Southwestern Railway Co.*, 486 U.S. at 335. But prejudgment interest cannot be seen as simply an element of compensation. If it were, the discretionary nature of prejudgment interest would be inexplicable. And as we have shown, the discretionary nature of prejudgment interest has been emphasized repeatedly by the Court.

In fact, in addition to serving as an element of compensation, an award of prejudgment interest operates in some ways as a cost imposed on the defendant for litigating its claim. See, e.g., *Glus v. G.C. Murphy Co.*, 629 F.2d 248, 258 (3d Cir.), vacated on other grounds, 451 U.S. 935 (1981) ("An award of interest here would punish the [defendant] unfairly because it exercised its right to proceed to trial."); *Ramey v. Cincinnati Enquirer, Inc.*, 508 F.2d 1188, 1198 (6th Cir. 1974), cert. denied, 422 U.S. 1048 (1975). As an analytical matter, a defendant comes to owe prejudgment interest not as a result of the wrongful act alleged by the plaintiff, but as a result of pursuing the litigation. This is why the Court has frequently characterized prejudgment interest as "delay damages." See, e.g., *General Motors Corp. v. Devex Corp.*, 461 U.S. at 656; see also *Library of Congress v. Shaw*, 478 U.S. at 321-23. For a defendant, interest is a cost resulting not from the decisions that led to its alleged tort, but from its decision to continue defending itself in litigation instead of accepting whatever settlement the plaintiff might choose to offer.

This case illustrates the point. If the court of appeals' approach prevails, the City may be liable to respondents for more than 15 years' worth of prejudgment interest.

But more than a decade into this litigation – as late as October 1990, just before the court of appeals rendered its decision on the liability issue – the City would have been fully justified in believing that it would not have to pay respondents anything. The City had denied that it owed any duty to warn of the danger of storms, and the district court, agreeing almost entirely with the City, had determined that the City was only 4% liable for the total damage (a ruling that required the City, which also had its property damaged, to pay less than \$32,000).⁸

The bulk of the City's liability for prejudgment interest, therefore, stems directly from its justified refusal, for the first decade of the litigation, when it appeared that the City would have no significant liability, to settle the litigation on the terms that respondents might have demanded. It was that decision by the City, rather than anything done in the period leading up to the Christmas Eve accident, that will precipitate most of an award of prejudgment interest. Prejudgment interest must, therefore, be seen in part as a price exacted from the City for its decision not to settle, a decision that on the facts of this case can scarcely be regarded as unreasonable.

2. In theory, it might be suggested, an award of prejudgment interest does not in fact burden a defendant's decision to continue to litigate. The theoretical argument is that during the course of the litigation, the defendant retains the sum that (it is ultimately determined) rightfully belonged to the plaintiff. The defendant

⁸ We made this calculation on the basis of the total amount of damages agreed to by the parties in the settlement. See J.A. 40-45.

was able to earn interest on the sum during that time, and paying that interest over to the plaintiff, this theoretical argument concludes, leaves the defendant no worse off.

Reality does not, however, conform so neatly to economic theory. In this case, for example, the court of appeals ordered the district court to calculate prejudgment interest at either the "average of the prime rate for the years in question" or "the rate . . . [that] lenders would charge the City for short-term, unsecured loans." Pet. App. 14a. The practical effect of the court of appeals' ruling in this case, therefore, is to treat the City as if it had agreed to guarantee respondents a return equal to the prime rate on an investment of approximately \$1.67 million invested for over 15 years. Every investor will recognize that as an excellent investment opportunity. Yet that is what the City may be required to give to respondents as a result of its decision to contest the litigation.

To put the point another way, the City, under the court of appeals' approach, is forced to make interest payments equal to those it would have owed for borrowing \$1.67 million on the market for 15 years. A decision to borrow a large sum for a long term at market rates of interest is not a decision that any unit of government, or any business, would make lightly. But the effect of the court of appeals' decision is that the City now discovers that, by continuing to contest respondents' suit against it, it effectively made just such a decision. In this respect, too, an award of prejudgment interest is not just a matter of placing both parties in the position they would have been in if the defendant had fully compensated the plaintiff; it imposes a significant burden on the defendant for continuing the litigation.

Finally, an award of prejudgment interest is burdensome to the defendant because of the cash flow implications. In theory the City should have readily at its disposal the \$5.3 million in interest that, according to respondents, it has earned over the years on the damages it now owes. But in practice, many firms, and certainly many state and local governments, do not operate in that way. The interest that petitioner "earned" on the damages award it has now paid to respondents was either devoted to services for the citizens of Milwaukee or, more likely, was never raised in taxes and so remained in the taxpayers' pockets.

The notion that the taxpayers earned the prime rate on these funds is fictitious. But beyond that, the need to raise a large sum of cash in a short time can be immensely disruptive, especially to a unit of government. This Court has recognized as much: the Court has ruled, for example, that the Eleventh Amendment, while not protecting states from injunctive relief that effectively requires them to spend large sums in the future, does bar retrospective damages awards, partly because of the additionally disruptive effects of such awards. See *Edelman v. Jordan*, 415 U.S. 651, 666 n.11 (1974).

3. Awards of prejudgment interest are, therefore, properly seen, in part at least, as a burden imposed on the defendant as a result of its decision to continue to litigate. Once prejudgment interest is seen in this way – as it has been for centuries – the discretionary regime that traditionally governs prejudgment interest awards, and the courts' repeated references to equitable considerations and the relative fault of the parties, become readily understandable. In addition, the basis of the rule applied

by the district court – that prejudgment interest may be denied when there is a good faith dispute in a case of mutual fault – becomes clear.

Specifically, in cases of mutual fault, a defendant will sometimes reasonably believe that it might not be held liable at all. Cf. S. Rep. No. 97-275 at 12 (the proposed general prejudgment interest statute allowed prejudgment interest only “where a defendant knew of his liability”). That is particularly true when, as in this case, the defendant itself has suffered an injury, for which the plaintiff might be held responsible. The defendant’s belief that it might not be held liable is even more reasonable when it is clear that the bulk of the fault resides with the plaintiff. That is indisputable in this case; the issue between the district court and the court of appeals was whether respondents were two-thirds responsible or 96% responsible.

When, as here, the defendant had a reasonable belief, throughout the litigation, that it might not be held liable because of the plaintiff’s fault, it may be reasonable for the defendant to continue to defend itself. And if the decision to continue the litigation is reasonable – in the judgment of the district court, which is of course in the best position to make that determination – then the district court should also be allowed to determine that the defendant will not be burdened, by an award of prejudgment interest, for continuing to litigate.

Of course this will not be true in all cases involving mutual fault. The district court did not rule, and we do not contend, that mutual fault always warrants withholding prejudgment interest. On the contrary, in some cases

of mutual fault it will be apparent from the outset that the defendant is likely to be held liable for a substantial amount, for example if the plaintiff's fault is relatively slight or the defendant's fault is clear. Other factors may be relevant as well, such as the settlement offers made by the respective parties. Sometimes the reasonableness of the defendant's conduct will change over the course of the litigation, if it becomes clear that the plaintiff's responsibility is less than first appeared, or that the defendant cannot escape substantial liability. The district court will, of course, be in the best position to assess these various factors and adjust the award of prejudgment interest accordingly, subject to review for abuse of discretion. The error of the court of appeals, however, was to declare that mutual fault can *never* be the basis for the district court's determination to withhold prejudgment interest.⁹

⁹ Several states have recognized the logic of this position – that an award of prejudgment interest should depend on the reasonableness of the defendant's decision to continue to litigate – by linking prejudgment interest awards to the defendant's willingness to settle on reasonable terms. For example, under Ohio Rev. Code Ann. § 1343.03(C), a party to a tort action is not subject to prejudgment interest unless the court finds that it “failed to make a good faith effort to settle the case and that the party to whom the money is to be paid did not fail to make a good faith effort to settle the case.” See *Kalain v. Smith*, 25 Ohio St.3d 157, 495 N.E.2d 572 (1986) (syllabus): “If a party has a good faith, objectively reasonable belief that he has no liability, he need not make a monetary settlement offer.” Similarly, under California law, prejudgment interest is available in personal injury actions only when the defendant refuses a settlement offer and subsequently is held liable for a larger amount. See West's Ann. Cal. Civ. Code § 3291 (Supp. 1995).

4. This feature of prejudgment interest – its effect in burdening the defendant for continuing to litigate – alone explains a point on which, it appears, there is no controversy: that prejudgment interest can be withheld if the plaintiff unnecessarily delays the litigation. See, e.g., *Osterneck*, 489 U.S. at 176; *General Motors Corp. v. Devex Corp.*, 461 U.S. at 176-77. Under the simplistic compensatory model of prejudgment interest, even if litigation is unduly prolonged, an award of prejudgment interest does not give the plaintiff more than it should receive, or cause a defendant to lose more than it should; the defendant simply disgorges the interest it has earned on the damages, and the plaintiff is merely made whole for the lost time value of its damages.

But the courts uniformly recognize that generally the plaintiff will profit unfairly from an award of prejudgment interest if it unreasonably delays the litigation.¹⁰ The reason is, as we have explained, that an award of prejudgment interest effectively allows the plaintiff to make the defendant an involuntary debtor who must pay a substantial rate of interest.

There is only a difference in degree – not in principle – between a situation in which a plaintiff prolongs litigation in bad faith and one in which a defendant reasonably declines to settle on terms favorable to the plaintiff. In both cases, the costs of continuing the litigation – including prejudgment interest – should not properly be viewed

¹⁰ *Alkmeon Naviera*, a case on which the court below relied (mistakenly, in our view; see page 18 note 7 *supra*), stated that this “is the most common ground for denial” of prejudgment interest. 633 F.2d at 797.

as the defendant's sole responsibility. The apparently settled rule that a plaintiff may not recover prejudgment interest if it deliberately prolongs the litigation, therefore, logically entails a rule that a court may consider, in awarding prejudgment interest, the reasonableness of the defendant's decision to pursue the litigation. This is not to say that courts should treat the two situations – deliberate delay by the plaintiff and a reasonable decision to continue litigating by the defendant – in the same way; manifestly they need not. But it is to say that the court of appeals' approach, which ruled out of bounds any consideration of important factors bearing on the reasonableness of the defendant's conduct of the litigation, cannot be sustained.

5. Finally, there is the question of – in this Court's words – "fundamental considerations of fairness" (*Osterneck*, 489 U.S. at 176), and whether an award of prejudgment interest in a case like this would be "inequitable" (*Blau*, 368 U.S. at 414; *Board of Commissioners*, 308 U.S. at 352). Respondents were, indisputably, far more responsible for the accident in this case than the City. The district court, which heard the evidence, found that the City was essentially not responsible at all. See *Osterneck*, 489 U.S. at 176 (identifying "the degree of personal wrongdoing on the part of the defendant" as a basis on which courts have denied prejudgment interest).

As we have shown, there is no tradition – in the common law or in federal law, including admiralty – of treating prejudgment interest as a remedy that is available as a matter of right. Since the inquiry is to some degree an equitable one, it is difficult to see why the relative fault of the parties should *not* bear upon whether

prejudgment interest can be awarded. At common law, under the doctrine of contributory negligence, a plaintiff who was at fault to any degree could not recover damages. Admiralty did not accept that harsh rule. As a result, not only can a party at fault recover in admiralty, but in this case a party that is at least two-thirds responsible recovered \$1.67 million in damages.

But it would be a sharp break with tradition to hold that a party that is predominantly at fault not only can recover damages, and not only can recover prejudgment interest if the district court so decides, but has a right to prejudgment interest even when the district court determines that prejudgment interest would be inequitable. If the traditions of equity and discretion that are such a prominent part of the law of prejudgment interest mean anything, they must mean that in cases in which the defendant had reason to believe it was not at fault at all, and the plaintiff unquestionably had principal responsibility, the district court is not required as a matter of law to award prejudgment interest to the more guilty party.

C. *Reliable Transfer* Does Not Undermine, But In Fact Reinforces, The Principle Allowing Prejudgment Interest To Be Denied When There Is A Good Faith Dispute In A Case Of Mutual Fault.

The court of appeals did not deny that numerous cases had recognized that good faith dispute in a case of mutual fault could be a basis for denying prejudgment

interest. Instead, the court explicitly ruled that this principle, which was even embraced by a previous Seventh Circuit decision (*First National Bank of Chicago v. Material Service Corp.*, 597 F.2d 1110, 1121 (1979)), should be overturned. One event, in the court of appeals' view, justified it in discarding this line of precedent – this Court's decision in *United States v. Reliable Transfer Co.*, 421 U.S. 397 (1975).

The court of appeals plainly erred in concluding that *Reliable Transfer* calls for overruling these cases. In fact, *Reliable Transfer* supports exactly the opposite result – it provides an additional reason for retaining the district courts' discretionary authority to deny prejudgment interest in cases of mutual fault.

Reliable Transfer overruled the divided damages rule, which required that total damages from a mutual fault collision be divided equally between the parties. The Court held instead that in collision cases in admiralty, damages are to be apportioned according to the relative fault of the parties. 421 U.S. at 411. This had long been the rule in personal injury cases in admiralty. See *id.* at 407, 409.

The court of appeals gave two reasons for concluding that under *Reliable Transfer* district courts may not deny prejudgment interest on the basis of mutual fault. First, the court said, the denial of prejudgment interest in mutual fault cases served to mitigate the often harsh effects of the equal division rule. Second, the court of appeals reasoned, *Reliable Transfer* reduced the uncertainty faced by the parties in a mutual fault case and thus

made an award of prejudgment interest more appropriate. Neither of these reasons bears scrutiny.

1. The court of appeals' first reason amounts to saying that the reason courts adopted the mutual fault principle in prejudgment interest cases was so that they could subvert the divided damages rule by manipulating the award of prejudgment interest. Indeed, the court of appeals reasoned that this was the *only* function served by the mutual fault rule in prejudgment interest cases, so that, according to the court of appeals, once the divided damages rule was overturned, "there no longer exists a reason" to allow the denial of prejudgment interest on this ground. Pet. App. 8a.

There are several difficulties with the court of appeals' reasoning. First, manipulating awards of prejudgment interest is too crude a way of compensating for the divided damages rule. Courts operating under the divided damages regime did develop principled and well-focused means of limiting the inequities of that rule. They developed the major-minor fault rule, under which the divided damages doctrine would not apply when one party was only minimally at fault. See *Reliable Transfer*, 421 U.S. at 406; G. Gilmore & C. Black, *The Law of Admiralty* 492-93 (2d ed. 1975). They also developed the *in extremis* rule, under which a vessel responding to an emergency not of its own creation would be excused from any resulting negligence. See Gilmore & Black at 491-92. But any court concerned about the inequity of the divided damages rule would be ill-advised to try to use awards of prejudgment interest as a corrective. The amount of prejudgment interest depends on interest rates and the duration of the litigation. Neither of these factors

bears any necessary relationship to any damages award. It would be entirely fortuitous if even the most unprincipled district judge were able to use a prejudgment interest award to "compensate for" the perceived inequities of the divided damages rule.

Second, the divided damages rule was, before *Reliable Transfer*, a rule that the lower courts were obligated to apply. The court of appeals' approach therefore attributes to the lower courts a degree of disingenuousness. Rather than forthrightly seeking to limit the divided damages rule, as through the major-minor fault doctrine or the *in extremis* rule, the lower courts – according to the court of appeals – invented a rule solely to enable themselves to award or deny prejudgment interest when, under the law then in effect, there was no legitimate reason to do so. Many lower court judges expressed intense disagreement with the divided damages rule (see *Reliable Transfer*, 421 U.S. at 404-05; Gilmore & Black at 530-31), but they then proceeded to apply the rule, not evade it. There are, to be sure, a few cases from the Second Circuit in which awards of prejudgment interest were viewed as a way to circumvent the divided damages rule. See *Iberian Tankers Co. v. Gates Construction Co.*, 504 F.2d 747, 748 (1974); *Afran Transport Co. v. The Bergechief*, 285 F.2d 119 (1960). But it is implausible to say that the *only* function served by this prejudgment interest principle was to undermine, in a crude and inefficient way, a principle that the judges were supposed to apply.

Finally, the court of appeals' account cannot be reconciled with the fact that even in personal injury cases – where comparative fault, not divided damages, has long been the rule in admiralty – courts have applied the

principle that prejudgment interest can be denied in mutual fault situations. See, e.g., *Inland Oil and Transport Co.*, 696 F.2d at 328, citing *Pluyer v. Mitsui O.S.K. Lines, Ltd.*, 664 F.2d 1243 (5th Cir. 1983), and *Ceja v. Mike Hooks, Inc.*, 690 F.2d 1191, 1197 (5th Cir. 1982). This demonstrates that the mutual fault rule for determining when prejudgment interest would be awarded served purposes beyond the highly questionable one suggested by the court of appeals – purposes that it continues to serve after *Reliable Transfer*.

2. The court of appeals' second reason for concluding that *Reliable Transfer* warrants a change in prejudgment interest law is not only mistaken but amounts to an argument in favor of the mutual fault rule. The court of appeals acknowledged that "there are decisions stating that, at least where fault is mutual, prejudgment interest . . . should be denied due to the uncertainty as to which party will bear the ultimate liability to make payment to the other." Pet. App. 11a. The court of appeals went on to reject these decision on the following ground (*id.* at 11a-12a):

[U]sing uncertainty as a basis to deny interest in a mutual fault case made sense under the old divided damages regime. This is because under that rule, it was not until after trial that there would be a determination from the district court as to which of the parties would have to come up with the extra money to make the other party whole. But now with the abolition of the divided damages rule and the adoption of comparative fault both parties are liable to each other in relation to their respective degree of fault. In other words, although the exact amount

of damages may not be known until after trial, neither party can now claim pretrial uncertainty as to whether he will in fact be liable to the other. Thus, after *Reliable Transfer*, it only makes sense that uncertainty as to eventual liability can no longer be a factor to consider in determining whether to deny prejudgment interest in cases involving mutual fault.

This reasoning is precisely backward. *Reliable Transfer* increased the uncertainty faced by parties to litigation. Often in collision cases, as the court of appeals appears to recognize, the total amount of damage is easily ascertained, at least within a narrow range. That is because the damage is mostly to property, not to persons, and assessors can fix its value. Before *Reliable Transfer*, as soon as it became clear that both parties were significantly at fault, both knew, more or less exactly, the extent of their liability – each would be responsible for half of the damage.

Now, however, in a regime of comparative fault, the parties cannot know their liability until the end of the litigation, when the precise degrees of fault have been determined. The court of appeals appears to have recognized that uncertainty is a reason to mitigate or withhold prejudgment interest. It follows that *Reliable Transfer*, by increasing the degree of uncertainty, strengthens, rather than weakens, the case for allowing district courts to withhold prejudgment interest when there is mutual fault and a genuine dispute.

CONCLUSION

The judgment of the court of appeals should be reversed.

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